Performance Review Process

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Summary. Describes how Northstar Systems runs its two performance cycles, the annual review in April and the mid-year check-in in October, including goal setting, the 1-5 rating scale, calibration, feedback, Performance Improvement Plans, and the link to salary revision and variable pay.

SYNTHETIC DOCUMENT - Northstar Systems is a fictional company. This document exists for development, testing and demonstration only and is not real legal, employment, security or compliance advice.

1. Purpose and Scope

This document sets out how performance is planned, reviewed, rated and acted upon at Northstar Systems Private Limited. It exists so that every employee knows what is expected of them, how their contribution will be assessed, and what happens after the assessment. It also gives managers a single, consistent procedure so that two employees doing comparable work in different departments are judged by the same standard.

The process applies to all confirmed employees in Bands B1 to B7 in Bengaluru, Mumbai and remote locations. Employees who joined on or before 31 December of the fiscal year being reviewed take part in the annual review. Employees still on probation are assessed through the probation review described in the Employee Handbook (HR-002) and the Employee Onboarding Procedure (HR-005), not through this cycle, although their goals are recorded in NorthPeople in the same way. Contractors and consultants are outside the scope of this document.

Performance data is recorded in **NorthPeople**, the HRMS used for leave, attendance, appraisals and onboarding tasks. Rating outcomes that affect pay are passed to **NorthPay**, the payroll system, by the Payroll and Benefits Manager. Compensation consequences are governed by HR-010; disciplinary consequences of sustained underperformance are governed by HR-014.

2. Definitions

- **Fiscal year**: 1 April to 31 March. Goals, ratings and pay decisions follow this year.
- **Annual review**: the formal review held in April that covers the prior fiscal year and produces a final rating.
- **Mid-year check-in**: the conversation held in October that reviews progress against goals and may adjust them. It does not produce a final rating that affects pay.
- **Goal**: a specific, measurable outcome agreed between employee and manager for the fiscal year. Each employee should have between three and six goals.

- **Competency**: a behavioural expectation for a Band, such as ownership, collaboration, customer focus and quality of work.
- **Calibration**: the review of proposed ratings by department heads and HR to ensure consistency across teams before ratings are released.
- **Performance Improvement Plan (PIP)**: a structured 60-day plan for an employee whose performance is below expectations.
- **Reviewer**: the reporting manager who writes the assessment. **Second-level reviewer**: the manager's own manager, who reviews and may challenge the assessment.
- **HR Business Partner (HRBP)**: the HR representative assigned to a department.

3. Roles and Responsibilities

Role	Responsibility
Employee	Records goals, collects evidence of achievements, completes a written self-assessment, takes part in feedback conversations
Reporting manager	Agrees goals, gives regular feedback, writes the assessment, proposes the rating, conducts the review conversation
Second-level reviewer	Reviews proposed ratings for fairness and evidence, resolves disagreements between employee and manager where raised
Department head	Takes part in calibration for the department and signs off the final ratings
HRBP	Supports managers, checks documentation quality, facilitates calibration, tracks PIPs
Head of People Operations	Owns this process, publishes the cycle calendar, configures NorthPeople, reports cycle statistics to the Chief People Officer
Chief People Officer	Approves rating distribution guidance and hears appeals

Managers must be Band B4 or above to act as reviewers. Where an employee's reporting line changes within 90 days of the end of the cycle, the outgoing manager must record written feedback in NorthPeople so that the incoming manager can use it.

4. The Performance Calendar

Northstar runs two cycles each fiscal year. The annual review takes place in April and covers the prior fiscal year. The mid-year check-in takes place in October. Goals for the new fiscal year are agreed in April and May, after the annual review is complete.

Period	Activity	Owner
April	Annual review of the prior fiscal year: self-assessment, manager assessment, calibration, rating release	Employee, manager, HRBP
April to May	New fiscal-year goals set in NorthPeople	Employee and manager
1 May	Salary revisions take effect (approved budget permitting)	Payroll and Benefits Manager
May payroll	Revised salary first paid, on the last working day of May	Payroll
June payroll	Variable pay for the prior fiscal year paid	Payroll
October	Mid-year check-in: progress review and goal adjustment	Employee and manager
Throughout the year	Continuous feedback and one-to-ones	Manager

The Head of People Operations publishes the exact dates for each stage in NorthPeople at least 15 working days before the cycle opens. Dates inside the cycle, such as the self-assessment deadline and the calibration window, may vary slightly from year to year, but the overall order of steps and the April and October timing do not change.

5. Goal Setting

5.1 Writing good goals

Goals must describe outcomes rather than activities. A goal such as "attend training" is an activity; "reduce average P2 first-response time on the Premier queue to under 2 hours" is an outcome. Goals should be specific, measurable, achievable, relevant to the department plan and time-bound within the fiscal year. Each goal should carry a weight, and the weights for an employee must add up to 100%. No single goal should carry more than 40% unless the manager and HRBP agree in writing that the role has one dominant deliverable.

5.2 Alignment

Department heads publish department priorities in April. Managers should link each team goal to a department priority so that individual goals roll up logically. Employees in Bands B1 to B3 should have goals that are mostly delivery-focused; Bands B4 and B5 should include at least one goal on team capability or process improvement; Bands B6 and B7 must include a goal that addresses organisational outcomes such as customer retention, delivery reliability or hiring quality.

5.3 Changes during the year

Goals may be changed when business priorities shift. Changes must be agreed between employee and manager and recorded in NorthPeople with a short reason. The mid-year check-in in October is the natural point to revise goals, but an urgent change should not wait for it. Removing a goal because the employee is likely to miss it is not permitted; the original goal stays on record with an explanatory note.

Example: A Customer Success Manager (Band B4) in Bengaluru agrees a goal in May to move 12 Enterprise accounts from Yellow to Green health score by 31 March. In October a major customer is acquired and 3 accounts leave the portfolio. The manager and CSM record the change in NorthPeople, reducing the target to 9 accounts with a note referring to the portfolio change. The original goal and the adjustment both remain visible during the annual review.

6. Continuous Feedback and the Mid-Year Check-In

Managers should hold a one-to-one with each direct report at least once every two weeks. These conversations are informal and are not recorded as ratings, but a manager should note in NorthPeople any significant feedback, positive or negative, so that the annual review is based on evidence across the whole year and not only on the last few weeks.

The mid-year check-in in October is a documented conversation, not a rating event. For each goal the employee and manager record progress as On Track, At Risk or Behind. The manager gives a short written summary of strengths and development areas. If an employee is Behind on goals carrying more than 50% of the weight, the manager must tell the employee clearly and in writing, with a copy to the HRBP, so that there is no surprise at the annual review. The mid-year check-in does not change salary, but it is the right time to agree development actions, which may use the learning budget described in HR-012.

7. The Annual Review Step by Step

1. **Cycle opens.** The Head of People Operations opens the annual review window in NorthPeople in April. Employees and managers receive a notification.
2. **Self-assessment.** The employee writes a self-assessment for each goal, gives evidence such as delivery dates, customer feedback or metrics, and rates themselves against the competencies. The employee has 7 working days to complete this step.
3. **Manager assessment.** The manager reads the self-assessment, adds peer or stakeholder input where relevant, and writes an assessment for each goal and each competency. The manager proposes a rating from 1 to 5 with a written rationale. The manager has 7 working days after the self-assessment closes.
4. **Second-level review.** The second-level reviewer checks that ratings are supported by evidence and consistent with the manager's other team members.
5. **Calibration.** Department heads and HR meet to review the distribution of proposed ratings and to compare cases across teams (see section 9).
6. **Rating release.** After calibration is complete, ratings are released. Managers must not communicate a proposed rating to the employee before the official release.
7. **Review conversation.** The manager meets the employee within 5 working days of release to explain the rating, discuss strengths and development areas and agree next steps.
8. **Acknowledgement.** The employee acknowledges the review in NorthPeople. Acknowledgement means the employee has received it and not that the employee agrees with it. The employee may add a written comment.

8. The Rating Scale

Northstar uses a five-point scale. Ratings describe overall performance against goals and competencies for the fiscal year being reviewed.

Rating	Label	Meaning
1	Needs Improvement	Results are well below expectations for the Band; significant, sustained gaps
2	Partially Meets	Some goals met, but important goals or competencies fall short
3	Meets	Goals and competencies delivered at the level expected for the Band
4	Exceeds	Consistently delivers above expectations; adds clear value beyond the role
5	Outstanding	Exceptional results with major impact on customers, revenue or the company

Rating 3 is the expected rating for an employee who does the job well. It is not a negative outcome. Managers should avoid inflating ratings to protect relationships, and should avoid using rating 3 for employees who have been formally told of serious concerns.

The Chief People Officer publishes guidance on the expected spread of ratings across the company each year. This guidance is a check against inconsistency, not a forced curve for any individual team. A small team may legitimately have no rating 4 or 5 in a given year.

Ratings must be based on evidence from the whole fiscal year. A single recent success or failure should not outweigh the rest of the year. Managers must not use factors such as gender, age, religion, disability, region, language, marital status or leave taken within entitlement when assessing performance. Approved leave, including maternity and paternity leave, must not reduce a rating; the manager should rate output relative to the time actually worked and set goals pro rata.

9. Calibration

Calibration takes place after managers have submitted proposed ratings and before any rating is released. Each department head, with the HRBP, reviews the full list of proposed ratings for the department. HR provides summary data on rating distribution, comparison with the previous year and any cases where the proposed rating differs by two or more points from the previous year.

The discussion focuses on evidence. For any proposed rating of 1, 4 or 5 the manager must be ready to present examples. If the group concludes that a rating is not supported, the rating is changed and the manager records the reason in NorthPeople. A rating may be raised or lowered in calibration only by agreement of the department head and HRBP. The manager is informed of the outcome before release.

Calibration meetings are confidential. Participants must not discuss individual ratings outside the meeting until official release. Where a department head has a direct personal relationship with an employee under review, such as a family relation, the Chief People Officer assigns another department head to take that employee's calibration decision.

Example: In calibration for the Engineering department, a team lead proposes rating 5 for an engineer who shipped a major feature early, but the engineer's code review turnaround was repeatedly flagged as poor and a security-sensitive change needed rework. The VP Engineering and HRBP agree the evidence supports rating 4, because the delivery was strong but collaboration and quality competencies were not at the Outstanding level. The manager is informed and records the reason before ratings are released.

10. Consequences of Ratings

10.1 Salary revision

Salary revisions take effect on 1 May of each year, subject to approved budget, and are paid with the May payroll on the last working day of May. The size of the increase depends on the rating, the employee's position in the Band and the company budget. Employees with a rating of 1 are not eligible for a revision in that cycle. Employees with a rating of 2 are eligible only for a reduced revision decided by the department head and HR. The detailed rules, including Band midpoints and promotion increases, are in HR-010.

10.2 Variable pay

Variable pay for the prior fiscal year is paid with the June payroll. The payout depends on the company performance factor, the department performance factor and the individual rating, as described in HR-010. Employees who have resigned or been terminated before the payout date are normally not eligible unless HR-010 states otherwise.

10.3 Promotion

Promotion decisions are made once a year after the annual review. An employee should normally hold a rating of 4 or above in the most recent cycle and show sustained performance at the next Band's level. The department head nominates; HR and the Chief People Officer review; and for Band B6 and above the CEO approves. Promotion takes effect from 1 May together with the salary revision unless the Chief People Officer approves another date.

10.4 Development

Every employee who receives a review conversation should leave with at least one development action. Development actions may be funded from the individual learning budget of INR 40,000 per fiscal year in NorthLearn; see HR-012 for the rules on certification and the retention clawback.

11. Performance Improvement Plan

11.1 When a PIP may be used

A manager may start a PIP when an employee's overall performance is rated 1, or is rated 2 for a second consecutive cycle, or when serious performance concerns arise during the year that have been raised and documented but not resolved through coaching. The manager must discuss the plan with the HRBP before starting it. The department head must approve a PIP for Band B4 and above. A PIP must not be started because of an employee's approved leave, a pending grievance or a complaint made in good faith.

11.2 Structure

A PIP lasts 60 days. It is a written plan, agreed in a meeting with the employee, the manager and the HRBP, and recorded in NorthPeople. It must state:

- The specific areas of concern and the evidence for them.
- The measurable improvement expected, with dates.
- The support to be provided, such as coaching, training or workload adjustment.
- The review dates. Reviews take place fortnightly, so a standard 60-day PIP has about four reviews.
- The possible outcomes at the end.

The employee may bring a colleague or an HR representative to the PIP meeting, and may add written comments to the plan.

11.3 Outcomes

At the end of 60 days the manager and HRBP assess progress against the plan. There are two possible outcomes:

1. **Successful completion.** The employee has met the expectations in the plan. The PIP is closed and the employee returns to the normal cycle.
2. **Unsuccessful completion.** Where expectations have not been met, HR and the department head decide the next step under HR-014, which may include a written warning or, ultimately, termination in line with the disciplinary ladder.

No employee is separated for performance without a documented PIP unless the conduct falls under the disciplinary procedure. An employee on a PIP remains entitled to leave and benefits; the PIP clock is paused during an approved leave of more than 5 working days.

Example: A Band B3 support engineer receives rating 1 for a fiscal year because 40% of their P3 tickets missed first-response targets and several customer escalations cited unclear updates. The manager and HRBP agree a PIP starting on 12 May. The plan sets a target of at least 90% of P3 tickets answered within 2 business hours for the Enterprise queue, weekly ticket quality reviews, and shadowing a Support Lead. Fortnightly reviews are held on 26 May, 9 June, 23 June and 7 July. By the third review the response rate is 93% and the employee is trending positively; the PIP closes successfully on 11 July.

12. Disagreement and Appeal

If an employee disagrees with a rating, the employee should first discuss it with the manager within 5 working days of the review conversation. If this does not resolve the matter, the employee may raise a written request for re-examination with the HRBP within a further 5 working days. The HRBP reviews the evidence with the second-level reviewer. If the employee is still dissatisfied, the matter may be raised as a grievance under HR-014, and appeals in disciplinary matters go to the Chief People Officer within 7 calendar days of the decision.

A rating may be changed after release only where there was a factual error, a procedural failure or evidence of bias. The change must be approved by the department head and the Head of People Operations, and the reason recorded in NorthPeople. Disagreement alone is not a ground for changing a rating.

13. Special Situations

- **New joiners.** An employee who joins on or before 31 December of the fiscal year is included in the annual review for that year, with goals set pro rata from the joining date. An employee who joins after 31 December is not rated for that fiscal year and is eligible for a pro-rata salary revision only if HR-010 allows.
- **Long leave.** An employee who has been on leave for more than 6 months of the fiscal year is not rated, and the salary revision treatment follows HR-010. The manager records the reason in NorthPeople.
- **Transfers.** If an employee moves between departments in the last quarter of the fiscal year, the outgoing manager supplies written input and the receiving manager is the reviewer.
- **Managers rating their own team members who are relatives.** Relatives must not be in a reporting line; if this occurs, the Chief People Officer reassigns the reviewer.
- **Resignation during the cycle.** An employee who has resigned and is serving notice is not eligible for a salary revision. A review may still be completed if the employee has worked at least half of the fiscal year.

14. Records and Confidentiality

Performance records are Restricted personal data of employees under the data classification scheme. They are kept in NorthPeople and retained as employee records for 7 years after the employee leaves. Managers must not store ratings in personal files or share them through personal email or external tools. Access is limited to the employee, the manager chain, the HRBP and HR operations staff with a business need.

15. Related Documents

The Employee Handbook (HR-002) describes probation and general expectations. Compensation and salary revision rules are in HR-010 (Compensation, Payroll and Salary Revision Policy). Grievance and disciplinary steps are in HR-014. Learning budgets and development funding are in HR-012. The grievance route for rating disputes follows Level 1 reporting manager, Level 2 HR Business Partner and Level 3 Grievance Committee as set out in HR-014.

16. Revision History

Version	Date	Change
3.0	2024-07-15	Introduced calibration step and PIP structure
4.0	2025-02-10	Moved variable pay payout to June payroll
4.1	2025-07-22	Clarified mid-year check-in, appeal route and leave treatment